

Investing Beyond Crisis Afghanistan



Situation on the ground: the challenge and why it matters now

Afghanistan is facing overlapping, mutually reinforcing crises that are pushing communities and local systems to a breaking point: economic fragility, large-scale returns and displacement, climate shocks, and severe restrictions for women and girls.

These pressures are most acute in areas of high returns, where millions of people are arriving in communities with limited capacity to absorb them. Livelihoods are shrinking, services are strained and natural resources are under increasing pressure. Recurrent droughts, floods and earthquakes are compounding the crisis, deepening poverty and increasing dependence on humanitarian assistance.

Humanitarian support remains essential, but on its own, it is not enough. Without sustained investment in: livelihoods and economic opportunities (especially for women); essential services; and climate resilience, local systems and recovery will continue to erode. This will drive greater instability, displacement and long-term dependence.

Reality check

- **Basic needs are under severe pressure.** 3 in 4 Afghans (28.9 million people) cannot meet basic needs.
- **The scale of returnees is unprecedented.** 5.9 million Afghans have returned since 2023 (14% of the population).
- **Restrictions on women and girls represent one of the most significant, and avoidable, drivers of Afghanistan's crisis.**
An estimated 3.8 million girls aged seven to 18 are currently out of school.
- **Lifting bans on women could add up to \$5.4B in GDP.** Only 24% of women participate in the labour force (vs. 89% for men), 7% are employed, 6.8% have bank accounts, 41% of female entrepreneurs are in debt, and 5% have accessed formal loans.
- **Climate shocks are hitting Afghans hard in a country whose economy and food security is highly dependent on agriculture.**
Drought affected 64% of households in 2025, and access to adequate drinking water fell from 59% to 44% in one year.

Results speak for themselves



Women and girls at the centre

Over 90% of UNDP's portfolio directly benefits women and girls.



Supporting women-led businesses

Since 2022, UNDP has continuously supported over 83,000 women-led enterprises, created nearly 500,000 jobs, most of them for women, and improved livelihoods for 2.7 million people.



Rebuilding local infrastructure benefiting 6.4 million people



Protecting essential services

In 2025 alone, nearly 2 million people accessed health care, and half a million people benefited from renewable energy.



Restoring access to finance systems

US\$6.1 million access-to-finance will mobilize US\$30 million in lending and create more than 14,000 jobs.

UNDP's advantage: why UNDP, why now

UNDP's comparative advantage lies in connecting immediate support with local recovery and longer-term stability; operating in the continuum, before, during and after shocks. In Afghanistan, this means working at district level in high-return, high-pressure areas where services, livelihoods, local infrastructure, climate risks and social cohesion are all tightly interconnected.

With nearly 50 years of presence in Afghanistan, UNDP brings established delivery platforms and deep understanding of local contexts, enabling tailored areas-based responses aligned to district and community realities.

UNDP delivers integrated solutions that link livelihoods, community infrastructure, renewable energy, climate adaptation, water management and private-sector engagement through established partnerships, delivery and oversight platforms that reach communities at scale, despite operating in a highly constrained environment shaped by sanctions and restricted financial flows.

Our offer: what UNDP will do

In Afghanistan, UNDP adapts its global Beyond Crisis framework into a 2x2 operational crisis model tailored to country realities.

It will focus on what matters most at the district level, keeping essential services running, and helping local economies “hold and recover” under pressure – across two phases: Prepare and Prevent targets high-risk and vulnerable districts where systems and livelihoods can still be strengthened before conditions deteriorate further. Respond and Recover targets districts experiencing active or recent shocks, such as large return inflows, displacement, drought, floods, earthquakes, or acute pressure on services and local economies.

The distinction is not purely geographic or based only on target groups. It is determined by the stage and severity of the crisis, informed by area-based risk and vulnerability analysis. In some districts, both approaches may be applied sequentially or at the same time – for example, restoring overstretched services after a return influx while also strengthening resilience to reduce the risk of renewed crisis.

	Essential services, infrastructure and local systems	Livelihoods, jobs and local economies
PREPARE & PREVENT CRISIS	Essential systems that keep services running and infrastructure standing when shocks hit UNDP acts early to keep essential services from failing. This includes: fixing and maintaining water and irrigation systems; community access roads; and supporting renewable energy for schools and health facilities and the local systems needed to operate them. Acting before local systems fail, UNDP will help: districts facing high underlying vulnerability or rising pressure; maintain services; strengthen local systems; and reduce the risk of deeper crisis, including in areas of high return.	Stronger jobs and businesses that bounce back, keeping economies stable through crises UNDP helps people hold on to their livelihoods before shocks harden into deeper irreversible poverty, displacement and dependence. In Afghanistan, this means strengthening local markets, supporting small businesses and farmers, targeting women-led ones, building skills and expanding access to finance, including Sharia-compliant modalities – so households are less likely to fall into poverty or be forced to move.
RESPOND & RECOVER	Getting services back and infrastructure running, helping communities recover to move forward Where shocks have already hit, UNDP works to restore essential services quickly. This includes repairing water systems, roads, community irrigations, clinics, schools, and access to energy services, through integrated recovery packages, tailored to district needs, local pressures and the affected population. The aim is not only to restore functionality quickly, but support communities stabilize and move forward, with more resilient local systems over time.	Restart livelihoods and rebuild economies In districts where shocks and returns have already disrupted jobs, enterprises and local markets, UNDP will help restart local economies by supporting livelihoods, creating immediate employment through skilling and re-skilling, helping families replace lost assets, and supporting businesses and farmers get back to work. This includes grants, working capital and liquidity support, market linkages to restore economic activity and strengthen resilience over time.

The investment

Delivering this integrated area-based approach in 200–250 priority districts in 24 provinces will require US\$350 million over three years (mid-2026 to mid-2029). It will enable UNDP to sustain essential services, restore community infrastructure, protect livelihoods, restart local economies, and strengthen resilience in high-return and high-vulnerability areas. These will be selected based on return pressures, poverty, service deficits, climate and disaster risks, local economic conditions, and social cohesion vulnerabilities.

Climate resilience, social cohesion, conflict sensitivity and crisis analytics will be integrated across *all four components rather than implemented as stand-alone workstreams*.

Indicative investment allocation (US\$Millions)

Operational component	Mid-2026	2027	2028	Mid-2029	Total
Prepare and Prevent: Essential services, infrastructure and local systems	\$5M	\$35M	\$45M	\$350M	\$120M
Prepare and Prevent: Livelihoods, jobs and local economies	\$5M	\$25M	\$32M	\$25M	\$87M
Respond and Recover: Essential services, infrastructure and local systems	\$5M	\$30M	\$30M	\$20M	\$85M
Respond and Recover: Livelihoods, jobs and local economies	\$3M	\$20M	\$20M	\$15M	\$58M
Total	\$18M	\$110M	\$127M	\$95M	\$350M

Return on investment

What success will look like in 24–36 months

Overall, the investment is expected to directly benefit approximately 7 million people across the four operational components. Improved infrastructure, services and stronger local systems will indirectly benefit an estimated 22–25 million people across 200–250 districts in 20 provinces. Within this overall target, approximately 2 million people will directly gain improved access to essential services and resilient infrastructure, representing an indicative investment of around US\$100 per direct beneficiary.

More resilient communities and local systems through essential services and infrastructure

- Communities and local systems in high-pressure areas across 200–250 districts will be better able to absorb shocks and sustain essential services under pressure.
- Around 2 million people will gain improved access to essential services and resilient infrastructure.
- Around 250,000 households will benefit from improved water security, irrigation and renewable energy, reducing pressure on basic needs.
- 800+ infrastructure investments, including water systems, irrigation networks, energy, roads, schools and health facilities, will be operational and climate-proofed to withstand high-intensity shocks.

Local economies are generating jobs and opportunities

Return on investment: US\$145 million will help create or sustain 100,000 jobs, strengthen 25,000 MSMEs, and provide 170,000 vulnerable people with productive assets, skills and access to economic opportunities at an indicative investment of less than US\$500 per direct beneficiary.

- Local economies in high-pressure districts will recover and generate jobs, income and market activity.
- About 100,000 jobs will be created or sustained across agriculture, MSMEs and local value chains.
- Around 25,000 MSMEs and producer groups will be supported, the majority led by women.
- Approximately 170,000 people will gain access to productive assets, skills, markets or finance.
- Between \$100 and \$150 million in additional financing will be mobilized, strengthening local markets and expanding access to capital.

A scalable, area-based model to help communities across Afghanistan to move beyond crisis

- Integrated recovery packages will be delivered in 200–250 districts, tailored to local contexts, combining services, livelihoods, climate resilience and social cohesion.
- District-level assessments and recovery plans will guide investment and delivery.
- Evidence and results will demonstrate how recovery, economic development and resilience can be delivered together, providing a scalable model in Afghanistan and similar crisis settings to move beyond crisis.

For more information, please contact UNDP Afghanistan.